

Diversification gaining pace

4QFY26 beats estimates; strong global traction in non-auto led by ADS division keeps growth visibility high

4QFY26: EBITDA ahead of our and Bloomberg consensus estimates

- 4QFY26 revenue at INR10bn (+28% y-y) was 4%/7% ahead of our/consensus estimates. The EBITDA margin at 19.3% was also ahead (our/consensus estimates of 18.1%/17.4%) leading to EBITDA of INR1.9bn, up 52% y-y. RM/sales was flat q-q at 42.3%, while a 60bp q-q drop in other cost/sales at 25.4% led to the EBITDA beat. Thus, APAT at INR1.2bn was up 105% y-y.
- Updates:** A key driver was that non-auto revenue was up 70% y-y and exports also did well (44% y-y) in 4QFY26. The growth in exports was broad-based (across NA/the EU). In non-auto, the ADS (Aerospace, Defence and Semiconductor) division was the key driver which reported INR3.2bn of revenue in FY26 and Sansera targets INR5.5-6bn in FY27E. The ADS division's order book (5-year cumulative) also increased from INR38bn (3Q) to INR45bn in FY26.
- Management commentary:** It's seeing strong opportunities across auto/non-auto. Looking to maintain the current growth momentum. ADS outlook remains strong. Getting into more complex/bigger parts across Aerospace (engines)/Semi and added an engine OEM in FY26. In Semi, it is engaging with more customers (one customer now). While initial working capital is higher, it expects that to normalise with local sourcing. **EV:** Good traction from existing 2W OE and Energy Storage (ESS) to start in FY27E with annual revenue of ~INR0.8-1bn. **Nichidai JV [JV with Nichidai Corp (6467 JP, Not rated)]** – will add driveline/steering systems and start from 3QFY27E. **Margins** – it expects to sustain margins y-y given that the cost pressure is partly offset by better mix.
- Our view:** As highlighted in our Anchor note ([link](#)) and Greater China Semi report ([link](#)), the Semi industry is likely to see a strong capex cycle driven by Agentic AI. We believe from TSMC's (2330 TT, Buy) perspective, Lam Research (LRCX US, Not rated) could be a winner given its dry etching technique. This can create meaningful opportunities for capable suppliers like Sansera. Hence, we expect the company's ADS revenue to increase from INR3.1bn (10% of FY26 revenue) to INR9.7bn (20% of FY28F revenue). This leads to revenue growth of 22%/19% y-y in FY27F/28F (19%/18% earlier) and EBITDA margins of 19%/19.5% (18.5%/19% earlier) resulting in an ~8%/11% rise in EPS estimates.

Valuation: Raise TP to INR3,114, based on 35x FY28F EPS, maintain Buy

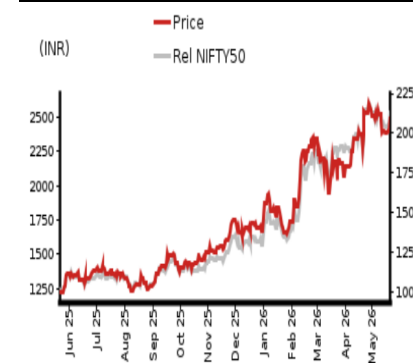
Given the improved longer-term growth visibility driven by diversification into the non-auto segment, we believe Sansera's valuations can trade at the upper end of its 25-35x historical trading band. We raise our target P/E to 35x (from 30x), and roll forward to Jun-27F (Mar-27F previously). Its current valuation at ~33x FY28F EPS looks attractive to us given its strong 26% EPS CAGR over FY26-28F.

Year-end 31 Mar	FY25	FY26F	FY27F	FY28F			
Currency (INR)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	30,168	34,213	34,979	40,806	42,829	48,096	51,153
Reported net profit (mn)	2,152	2,977	3,403	3,898	4,206	4,890	5,418
Normalised net profit (mn)	2,152	2,977	3,403	3,898	4,206	4,890	5,418
FD normalised EPS	34.75	47.52	54.33	62.22	67.15	78.07	86.49
FD norm. EPS growth (%)	0.5	36.8	56.4	30.9	23.6	25.5	28.8
FD normalised P/E (x)	82.2	–	52.5	–	42.5	–	33.0
EV/EBITDA (x)	34.4	–	28.3	–	22.0	–	17.8
Price/book (x)	6.5	–	5.8	–	5.1	–	4.5
Dividend yield (%)	0.1	–	0.1	–	0.2	–	0.2
ROE (%)	10.5	10.3	11.7	12.2	12.8	13.7	14.5
Net debt/equity (%)	net cash	net cash	2.0	net cash	2.9	net cash	net cash

Source: Company data, Nomura estimates

Rating Remains	Buy
Target price Increased from INR 2,342	INR 3,114
Closing price 21 May 2026	INR 2,855
Implied upside	+9.1%
Market Cap (USD mn)	1,850.2
ADT (USD mn)	7.5

Relative performance chart



Source: LSEG, Nomura

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Key data on Sansera Engineering

Performance

(%)	1M	3M	12M		
Absolute (INR)	20.2	24.9	133.4	M cap (USDmn)	1,850.2
Absolute (USD)	16.9	17.8	107.9	Free float (%)	12.4
Rel to NIFTY50	23.9	32.4	138.1	3-mth ADT (USDmn)	7.5

Income statement (INRmn)

Year-end 31 Mar	FY24	FY25	FY26F	FY27F	FY28F
Revenue	28,114	30,168	34,979	42,829	51,153
Cost of goods sold	-12,175	-12,414	-14,535	-17,903	-21,382
Gross profit	15,939	17,754	20,444	24,927	29,771
SG&A	-8,837	-9,918	-11,295	-13,561	-16,063
Employee share expense	-3,798	-4,427	-4,887	-5,620	-6,463
Operating profit	3,304	3,409	4,262	5,745	7,245
EBITDA	4,799	5,147	6,321	8,128	9,967
Depreciation	-1,495	-1,738	-2,059	-2,383	-2,722
Amortisation					
EBIT	3,304	3,409	4,262	5,745	7,245
Net interest expense	-770	-700	-377	-519	-459
Associates & JCEs					
Other income	24	203	595	402	398
Earnings before tax	2,558	2,912	4,479	5,628	7,184
Income tax	-687	-751	-1,053	-1,372	-1,752
Net profit after tax	1,870	2,161	3,427	4,256	5,433
Minority interests	-13	-9	-24	-50	-15
Other items					
Preferred dividends					
Normalised NPAT	1,858	2,152	3,403	4,206	5,418
Extraordinary items					
Reported NPAT	1,858	2,152	3,403	4,206	5,418
Dividends	-161	-201	-251	-325	-419
Transfer to reserves	1,696	1,950	3,153	3,881	4,999

Valuations and ratios

Reported P/E (x)	82.6	82.2	52.5	42.5	33.0
Normalised P/E (x)	82.6	82.2	52.5	42.5	33.0
FD normalised P/E (x)	82.6	82.2	52.5	42.5	33.0
Dividend yield (%)	0.1	0.1	0.1	0.2	0.2
Price/cashflow (x)	39.4	45.2	42.2	35.7	26.8
Price/book (x)	13.1	6.5	5.8	5.1	4.5
EV/EBITDA (x)	38.7	34.4	28.3	22.0	17.8
EV/EBIT (x)	56.1	51.9	41.9	31.2	24.6
Gross margin (%)	56.7	58.9	58.4	58.2	58.2
EBITDA margin (%)	17.1	17.1	18.1	19.0	19.5
EBIT margin (%)	11.8	11.3	12.2	13.4	14.2
Net margin (%)	6.6	7.1	9.7	9.8	10.6
Effective tax rate (%)	26.9	25.8	23.5	24.4	24.4
Dividend payout (%)	8.7	9.4	7.4	7.7	7.7
ROE (%)	14.8	10.5	11.7	12.8	14.5
ROA (pretax %)	12.9	11.3	11.5	13.0	14.5

Growth (%)

Revenue	19.8	7.3	15.9	22.4	19.4
EBITDA	24.7	7.3	22.8	28.6	22.6
Normalised EPS	20.3	0.5	56.4	23.6	28.8
Normalised FDEPS	20.3	0.5	56.4	23.6	28.8

Source: Company data, Nomura estimates

Cashflow statement (INRmn)

Year-end 31 Mar	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	4,799	5,147	6,321	8,128	9,967
Change in working capital	-243	-668	-1,262	-1,575	-1,467
Other operating cashflow	-659	-572	-822	-1,539	-1,828
Cashflow from operations	3,897	3,908	4,237	5,014	6,673
Capital expenditure	-3,356	-5,907	-5,113	-5,100	-5,000
Free cashflow	541	-1,999	-876	-86	1,673
Reduction in investments	-291	-100	-250	0	0
Net acquisitions	0	0	0	0	0
Dec in other LT assets					
Inc in other LT liabilities					
Adjustments	-37	-3,541	949	0	0
CF after investing acts	213	-5,640	-177	-86	1,673
Cash dividends	-161	-201	-251	-325	-419
Equity issue	0	11,756	0	0	0
Debt issue	893	-5,063	1,474	-500	-500
Convertible debt issue					
Others	-812	2,791	-179	20	20
CF from financial acts	-80	9,282	1,045	-805	-899
Net cashflow	134	3,642	867	-891	774
Beginning cash	496	630	4,272	3,972	3,081
Ending cash	630	4,272	5,139	3,081	3,855
Ending net debt	7,381	-1,275	604	995	-279

Balance sheet (INRmn)

As at 31 Mar	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	630	4,272	3,972	3,081	3,855
Marketable securities	10	9	18	18	18
Accounts receivable	4,622	4,546	6,270	7,677	9,170
Inventories	4,189	5,010	6,712	8,453	10,096
Other current assets	544	756	1,069	1,309	1,564
Total current assets	9,995	14,594	18,041	20,539	24,702
LT investments	400	508	878	878	878
Fixed assets	16,332	20,960	24,414	27,130	29,409
Goodwill	343	361	399	399	399
Other intangible assets					
Other LT assets	857	931	1,215	1,215	1,215
Total assets	27,927	37,355	44,947	50,161	56,603
Short-term debt	5,495	1,284	3,619	3,619	3,619
Accounts payable	3,558	3,623	5,433	6,652	7,945
Other current liabilities	2,033	2,257	2,925	3,519	4,149
Total current liabilities	11,086	7,164	11,977	13,791	15,713
Long-term debt	2,516	1,713	956	456	-44
Convertible debt					
Other LT liabilities	692	801	938	938	938
Total liabilities	14,294	9,679	13,872	15,185	16,608
Minority interest	159	173	201	221	241
Preferred stock					
Common stock	107	124	125	125	125
Retained earnings	13,367	27,379	30,749	34,630	39,629
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	13,474	27,503	30,874	34,755	39,753
Total equity & liabilities	27,927	37,355	44,947	50,161	56,603

Liquidity (x)

Current ratio	0.90	2.04	1.51	1.49	1.57
Interest cover	4.3	4.9	11.3	11.1	15.8

Leverage

Net debt/EBITDA (x)	1.54	net cash	0.10	0.12	net cash
Net debt/equity (%)	54.8	net cash	2.0	2.9	net cash

Per share

Reported EPS (INR)	34.57	34.75	54.33	67.15	86.49
Norm EPS (INR)	34.57	34.75	54.33	67.15	86.49
FD norm EPS (INR)	34.57	34.75	54.33	67.15	86.49
BVPS (INR)	217.60	439.07	492.88	554.84	634.64
DPS (INR)	2.60	3.21	4.00	5.19	6.69

Activity (days)

Days receivable	58.1	55.5	56.4	59.4	60.3
Days inventory	118.4	135.2	147.2	154.6	158.8
Days payable	97.2	105.6	113.7	123.2	124.9
Cash cycle	79.3	85.1	89.9	90.8	94.1

Source: Company data, Nomura estimates

Company profile

Sansera Engineering Ltd (Sansera), incorporated in 1981, is an integrated manufacturer of complex and critical precision engineered components across automotive and non-automotive sectors. Within the automotive sector (89% of FY21 revenue), it manufactures and supplies a wide range of precision forged and machined components and assemblies, with connecting rod (CRs, 40% of FY21 revenues) being the largest component by revenue. Within the non-automotive sector (11% of FY21 revenue), it manufactures and supplies a wide range of precision components for the aerospace, off-road, agriculture and other segments. As of FY21, it is the largest manufacturer of CR, RA and GS for two-wheelers and passenger vehicles (PVs) in India. Sansera is focused on expanding its electric vehicle, technology agnostic and non-auto product offerings and targets to reach 40% of total revenue from these segments from 17% in FY21.

Valuation Methodology

Our TP of INR3,114 is based on 35x FY28F consol EPS (roll forwarded to Jun-27F). Our target multiple is backed by DCF. The benchmark index for the stock is Nifty 50

Risks that may impede the achievement of the target price

Key downside risks: 1) Any accelerated shift in new industry trends and technologies; and 2) slower demand from its Top 5 clients (~45% of FY26 revenues).

ESG

Sansera was one of the 3 finalists across global vendor base of Daimler in "Daimler Sustainability Recognition 2021" for its commitment to reduce CO2 through the partial switch to solar and wind energy. Sansera has taken initiatives to reduce the risk of accidents and prevent environmental pollution at its facilities. These include ensuring periodic employee training on environmental hazards and safety training while using machines, implementing regular employee safety audits and periodic employee safety meetings; and conducting periodic emergency mock drills in their plants. The company has also set up effluent and sewage treatment plants at its manufacturing facilities to treat and recycle treated wastewater; installed solar panels; and switched to LED lights from a conventional lighting system to reduce carbon footprint. It has also won several awards from its customers for excellent quality of its products like "Best Quality Supplier" award from Toyota India, in 2021; and "Quality Performance Award" from Volkswagen AG in 2017. It has a well-diversified and experienced board which drives a process based governance system with an objective to enhance value for all stakeholders

4QFY26 results summary: Beats estimates on all fronts

Fig. 1: Sansera – 4QFY26 results vs our expectations

INR mn				% difference from	
	Actual	Consensus	Nomura	Consensus	Nomura
Net Sales	9,987	9,318	9,564	7%	4%
EBITDA	1,929	1,626	1,727	19%	12%
Margin	19.3%	17.4%	18.1%	187 bps	127 bps
Net Profit	1,214	823	901	48%	35%

Source: Company data, Bloomberg Finance L.P. consensus estimates, Nomura estimates

Key highlights

- 4QFY26 consolidated revenue increased ~28% y-y, above our/consensus estimates by 4%/7%.
- By segment, the Auto-ICE/Tech-agnostic/xEV/Non-auto segments delivered ~22%/29%/7%/70% y-y revenue growth. India exports rose ~44% y-y.
- 4QFY26 EBITDA came in at INR1.9bn (Nomura: INR1.7bn), up ~52% y-y. The EBITDA margin was 19.3%, +306bp y-y.
- PAT was ~INR1.2bn.

Fig. 2: Sansera – 4QFY26 results vs our estimates

INR mn	4QFY25	3QFY26	4QFY26	% y-y	% q-q	4QFY26F	FY25	FY26	%y-y
Revenue from operations	7,817	9,077	9,987	28%	10%	9,564	30,167	34,979	16%
Net Material cost	3,337	3,864	4,221	26%	9%	4,017	12,413	14,535	17%
RM/Net Sales	42.7%	42.6%	42.3%	(43) bps	(30) bps	42.0%	41.1%	41.6%	41 bps
Staff cost	1,143	1,213	1,298	14%	7%	1,268	4,427	4,887	10%
Staff cost/ Net Sales	14.6%	13.4%	13.0%	(162) bps	(37) bps	13.3%	14.7%	14.0%	(70) bps
Other costs	2,067	2,360	2,539	23%	8%	2,552	8,180	9,236	13%
Other cost / Net Sales	26.4%	26.0%	25.4%	(102) bps	(58) bps	26.7%	27.1%	26.4%	(71) bps
EBITDA	1,271	1,640	1,929	52%	18%	1,727	5,147	6,321	23%
EBITDA margin	16.3%	18.1%	19.3%	306 bps	126 bps	18.1%	17.1%	18.1%	101 bps
Depreciation	468	524	555	19%	6%	540	1,738	2,059	18%
EBIT	802	1,116	1,374	71%	23%	1,187	3,409	4,262	25%
EBIT margin	10.3%	12.3%	13.8%	350 bps	147 bps	12.4%	11.3%	12.2%	88 bps
Interest	96	79	112	17%	42%	80	700	377	-46%
Non operating income	99	96	266	168%	178%	95	203	595	194%
Exceptional income			-						
PBT	805	1,132	1,528	90%	35%	1,202	2,912	4,480	54%
Tax	217	256	341	57%	33%	300	751	1,053	40%
Tax Rate	27.0%	22.6%	22.3%	(467) bps	(33) bps	25.0%	25.8%	23.5%	(229) bps
Share in profit	5	-26	27						
PAT	593	849	1,214	105%	43%	901	2,161	3,427	59%
Adj. PAT	593	849	1,214	105%	43%	300	751	1,052	40%
No of Shares	62.64	62.64	62.64	0%	0%	62.64	161	161	0%
Reported EPS	9.4	14.0	18.9	102%	36%	14.4	40.2	63.8	59%

Source: Company data, Nomura estimates

Fig. 3: Sansera – quarterly segmental performance vs our estimates

INR mn	4QFY25	3QFY26	4QFY26	% y-y	% q-q	4QFY26F	FY25	FY25	%y-y
Auto ICE	5,287	5,755	6,426	21.5%	11.7%	6,051	20,775	23,040	11%
Auto Tech Agnostic	595	699	766	28.7%	9.6%	714	2,487	2,860	15%
xEV	421	383	451	7.1%	17.8%	425	1,676	1,590	-5%
Non-Automotive	1,018	1,742	1,736	70.5%	-0.3%	1,850	3,279	5,375	64%
Total	7,321	8,579	9,379	28.1%	9.3%	9,040	61,082	32,865	-46%
- India Exports	1,962	2,565	2,832	44.4%	10.4%	3,000	7,323	8,721	19%

Source: Company data, Nomura estimates

Key conference call takeaways

The following commentary is by management, unless otherwise stated.

Demand and outlook

- It plans to scale up its emerging business to 40% of the overall total business.
- The company generates 35% of its product sales from exports.
- It's facing pressure from availability of labour; plans to work on automation as well;
- It expects to sustain margins y-y given that cost pressure is being partly offset by better mix.

Segments

Auto ICE

- The passenger vehicles (PV) segment grew 34.3% y-y in 4QFY26. The growth was broad-based across OEMs.
- The commercial vehicles segment grew by 45% y-y in 4QFY26.
- 2W grew in line with industry growth rates.
- Asset turns stands at 1.25-1.3x.
- The increasing trend of outsourcing forged components amongst global OEMs to benefit the company
- The new plant commissioned at Pantnagar will focus on domestic 2W OEMs only.
- Targets 5-10k in vehicle BOMs.
- The new facility at Pantnagar was taken up for PVs and 2W.
- Expects this segment to be a strong driver as well; focus on agriculture also increasing.

xEV

- Addition of machined capacity with primary focus on Auto Tech. agnostic & xEV.
- It sees traction in energy storage production; and expects to start production this year.

ADS

- Primary driver of the non-auto segment; doubled on a y-y basis.
- It expects momentum to continue; growth looks much stronger.
- Aerospace looks very strong (+63.3%); semiconductor has been major ADS growth driver.
- Revenue guidance: INR5.5-6bn for FY2E.
- **Capex:** INR25bn for clearing the current backlog of INR45bn executable in five years.
- Asset turns ratio stands at 2x.
- Acquired 10 acres of land closer to the Aerospace Park to build up for the aerospace space.
- Have started regular production of semiconductor parts with manufacturing ramp up expected in 2HFY27E (3Q and 4Q).
- Expects good momentum in exports.
- Have received a few orders for Boeing (BA US, Not rated) as well.
- Working capital – major growth momentum – net working capital cycle is being built – plans to optimize working capital and expects holding period to come down.

International business

- International business recorded a much faster growth of 47.4% y-y.
- Exports to other counties almost doubled during the quarter primarily driven by the semiconductor business.
- Exports to the USA grew by 25.9% y-y, supported mainly by the non-auto segment and passenger vehicles.

Orderbook

- The orderbook stands at INR19.2bn with 62% from global customers.
- Limited order inflows from international customers due to global uncertainties.
- This orderbook is expected to reach its peak annual revenue in the next three years.

JV with Nichidai Corporation (60:40 JV) (6467 JP, Not rated)

- Focusing on cold & warm forged precision components and expanding into tech-agnostic high-precision components.
- Plans to invest INR500mn in the JV in FY27E.

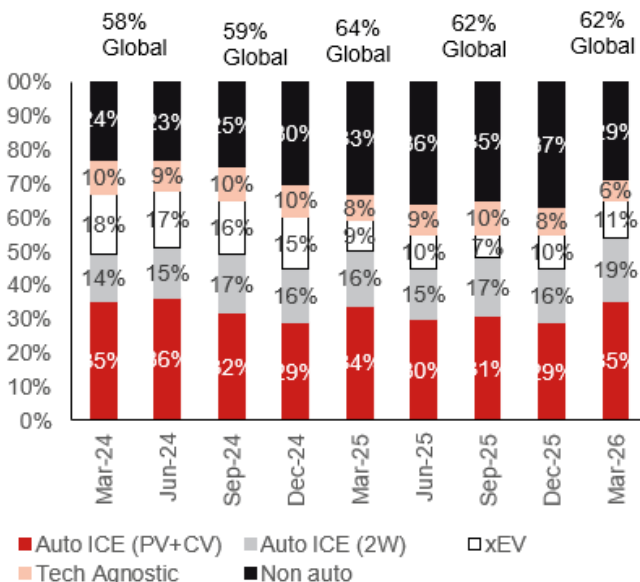
Others

- **Capital Allocation:** Capex incurred was INR5.1bn in FY26 and expects similar capex in FY27E. Plans to use this for a new ADS facility to serve its growing orderbook and to increase its existing capacities for precision forgings in existing plants.
- Cash stood at INR4.0bn as of end-FY26.
- Existing facilities are working at their peak.
- Forex gain of INR170mn reported in other income in FY26

Healthy order book and diversification on track

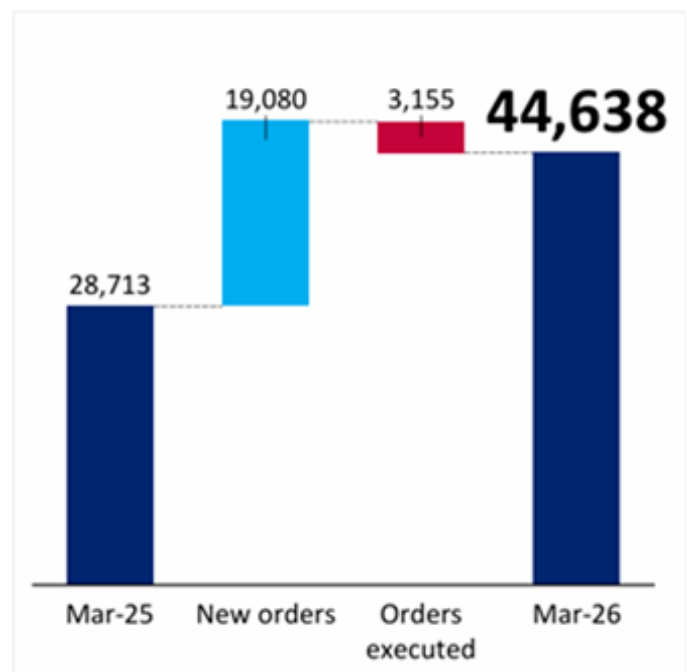
The order book as of Mar-26 was INR19.2bn, compared with INR24.1bn as of Dec-25. Its order book diversification continues to be skewed toward Auto ICE (~54% contribution), with Auto-Tech Agnostic/xEV/non-auto at ~6%/11%/29%. Around 62% of the order book in 4QFY26 was from exports.

Fig. 4: Sansera – order book breakdown by end-segment



Source: Company data, Nomura research

Fig. 5: Cumulative unexecuted order backlog



Note: Order backlog is executable in five years.

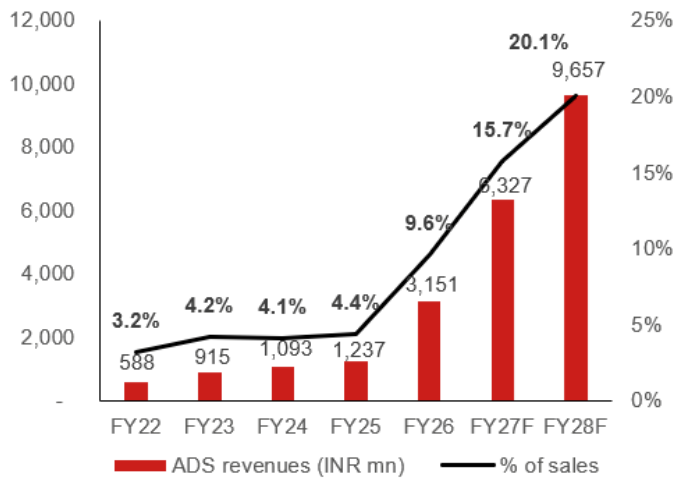
Source: Company data, Nomura research

ADS to become a key revenue driver; to contribute ~40% of revenues by FY30E

ADS currently is ~10% of revenues (FY26) and the company expects its mix to rise to 40% of revenue by FY30E. It has augmented its product capabilities vertically and horizontally and is able to produce higher value-added components. Of its existing capacity – two-thirds is dedicated for Aerospace and one-third for Defence. It is continuously adding more capacity at the existing facility. Capex of INR2.5bn is planned for the segment.

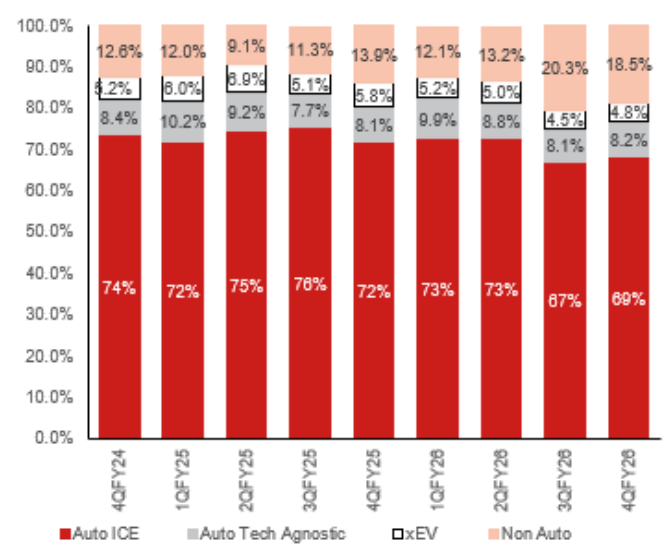
It has also started regular production of semiconductor parts manufacturing, which the company expects to ramp up in 3Q/4QFY27E.

Fig. 6: Sansera – ADS revenue trend



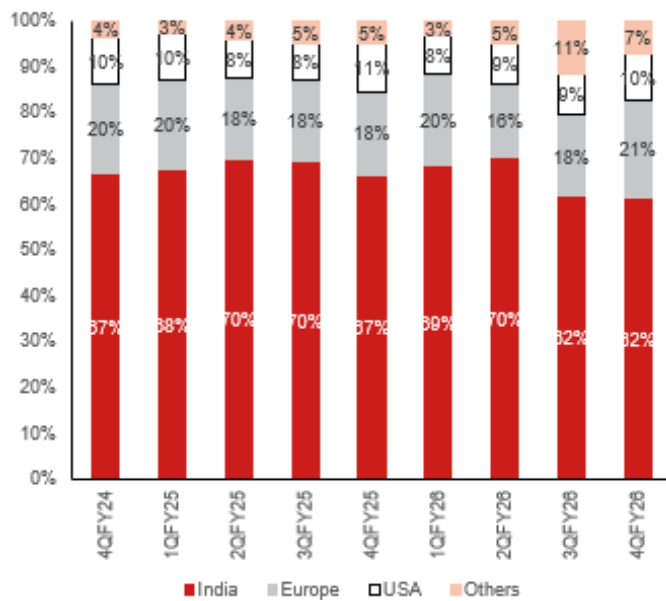
Source: Company data, Nomura research

Fig. 7: Sansera – segment-wise revenue mix



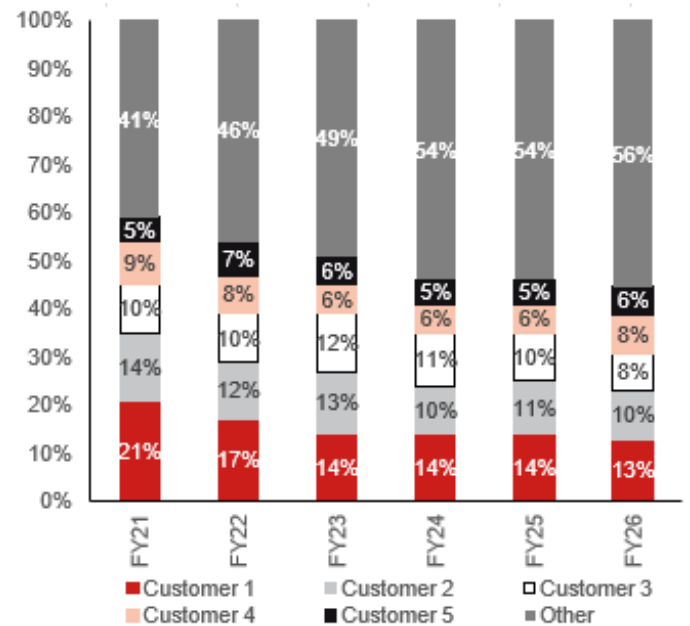
Source: Company data, Nomura research

Fig. 8: Sansera – geography mix



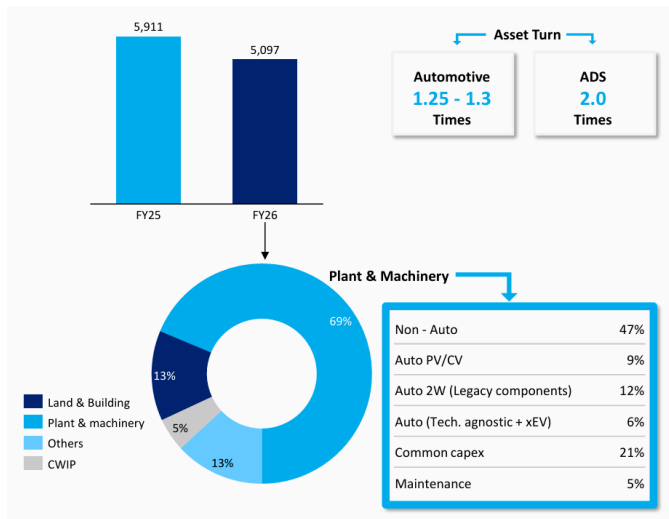
Source: Company data, Nomura research

Fig. 9: Sansera – sales mix by customer



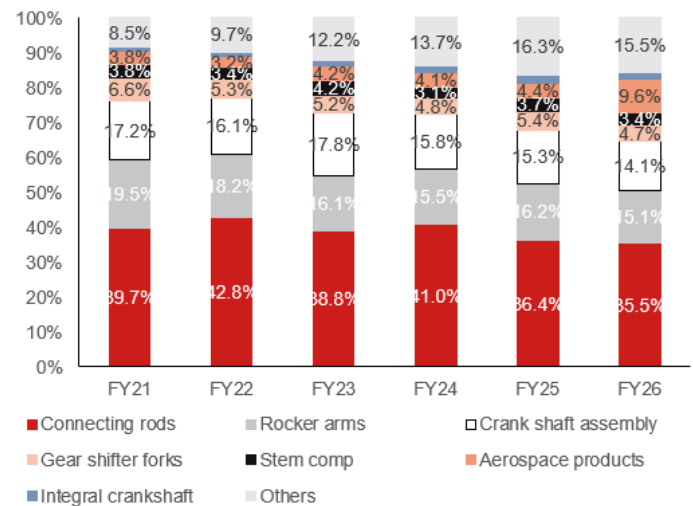
Source: Company data, Nomura research

Fig. 10: Capex breakdown (9MFY26)



Source: Company Data, Nomura research

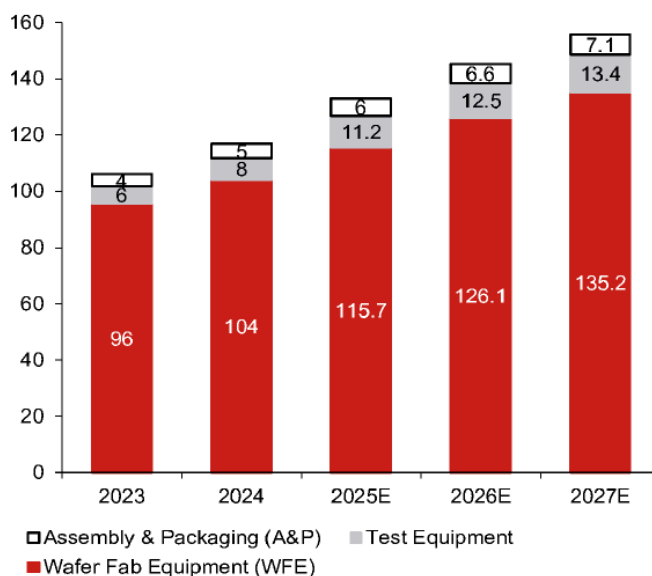
Fig. 11: Revenue by product



Source: :Company Data, Nomura research

Semiconductor capex cycles likely to remain strong

Fig. 12: Wafer fab equipment industry size (USD bn)



Source: SEMI, Nomura research

Fig. 13: Semiconductor equipment market revenue by region

Region	2023	2024	% y-y	2025	% y-y
China	38.8	49.6	28%	49.3	0%
Korea	19.8	20.5	3%	25.8	26%
Taiwan	19.6	16.6	-16%	31.5	90%
North America	12.1	13.7	14%	10.9	-20%
Japan	7.9	7.8	-1%	9.5	22%
Europe	6.5	4.9	-25%	2.9	-41%
Rest of the World	3.7	4.2	15%	5.2	25%
Total	108.4	117.1	8%	135.1	15%

Source: SEMI, Nomura research

Fig. 14: Global memory companies – capex trends

Company	2025 Capex Done	2026 / Future Guidance
Samsung	~USD34bn	Higher memory investment in 2026; Taylor fab ramp-up
SK Hynix	~USD8.4bn	Sharp capex increase with M15X and HBM expansion
Micron	~USD20bn	Further increase in FY27 driven by Idaho and Singapore fabs
Kioxia	~USD1.9bn	Capex to rise in FY27 with higher equipment spending
Nanya	~USD0.4bn	~USD1.5bn planned for 2026 with WFE expansion

Source: Nomura research

Fig. 15: Global foundries – capex trends

Company	2025 Capex Done	2026 / Future Guidance
TSMC	USD40.9bn	USD52-56bn in 2026 driven by advanced nodes and AI demand
Intel	USD14.6bn	Flat/slightly lower 2026 capex; focused on 14A investments
UMC	USD1.5bn	~USD1.5bn in 2026 mainly for 12-inch capacity
GF	USD0.7bn	Higher 2026 capital intensity driven by silicon photonics
SMIC	USD8.1bn	~USD8.0bn in 2026 with continued equipment expansion
Hua Hong	USD1.8bn	Slightly lower 2026 capex; Fab 9B equipment installs in 2H26

Source: Nomura research

Fig. 16: TSMC's capex and capex intensity trend

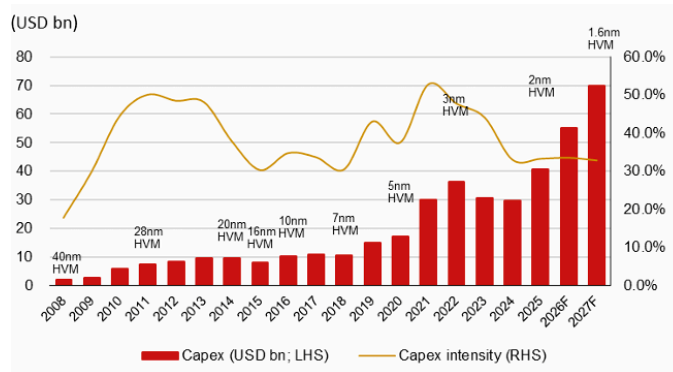


Fig. 17: TSMC's Semi material, spare parts and back-end equipment localization plan

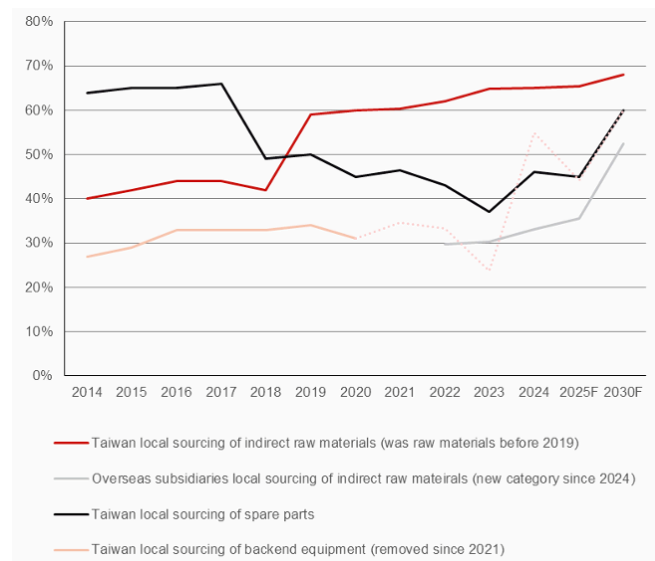


Fig. 18: Etching equipment market share, 2025

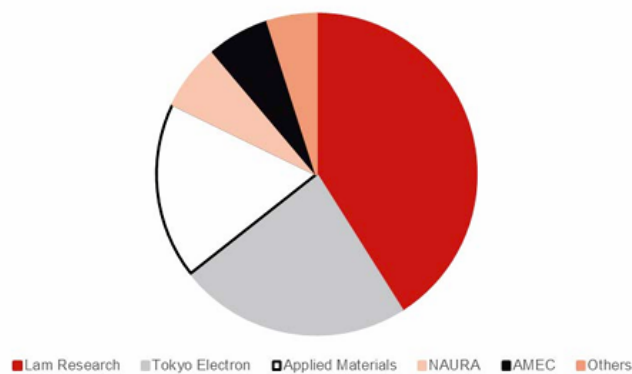
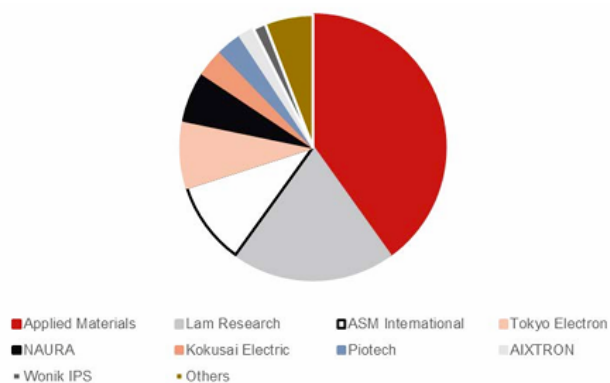


Fig. 19: CVD equipment market share, 2025



Revisions to our estimates

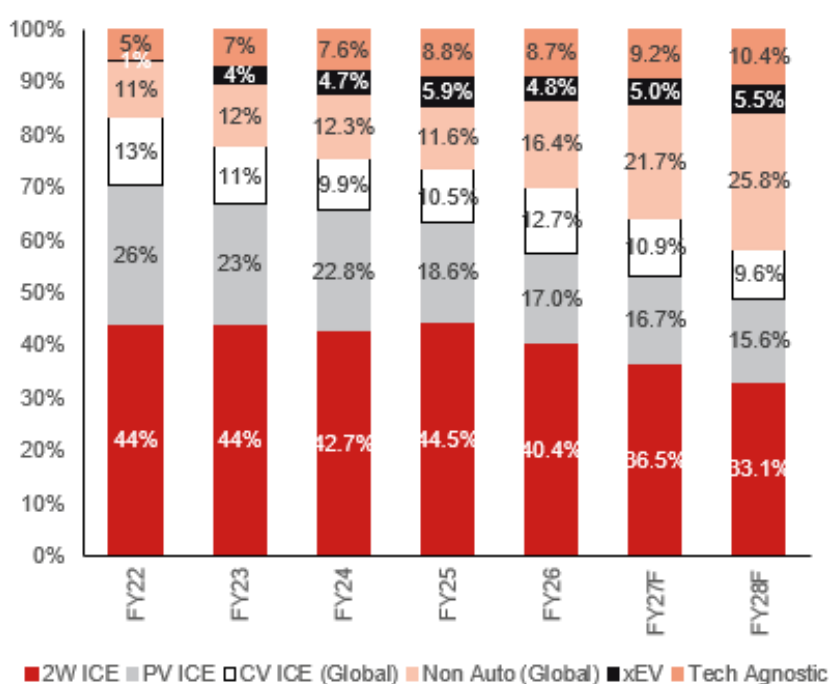
We raise FY27F/28F revenue growth estimates by ~5-6% to 22%/19% y-y. We raise our EBITDA margin estimates in view of its favorable mix and operating leverage, leading to 8-11% increases in our FY27F/28F EPS estimates.

Fig. 20: Sansera – revisions to our estimates

INR mn	New			Old		% change	
	FY26F	FY27F	FY28F	FY27F	FY28F	FY27F	FY28F
Revenue	34,979	42,829	51,153	40,806	48,096	5.0%	6.4%
% y-y	15.9%	22.4%	19.4%	19.3%	17.9%		
EBITDA	6,321	8,128	9,967	7,561	9,059	7.5%	10.0%
% y-y	23%	29%	23%	26%	20%		
Margin (%)	18.1%	19.0%	19.5%	18.5%	18.8%	45 bps	65 bps
PAT	3,403	4,206	5,418	3,898	4,890	7.9%	10.8%
% y-y	58%	24%	29%	31%	25%		
EPS	54.3	67.1	86.5	62.2	78.1	7.9%	10.8%

Source: Nomura estimates

Fig. 21: Sansera – revenue mix trend and forecasts



Source: Company data, Nomura estimates

Maintain Buy with higher TP of INR3,114 (from INR2,342)

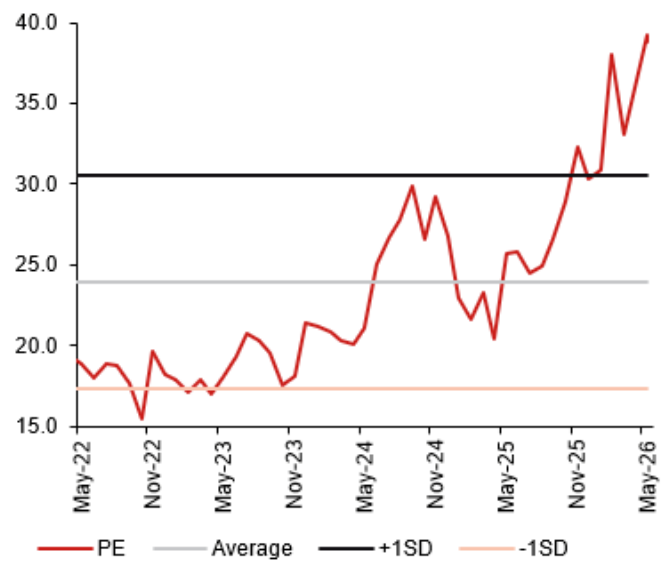
We raise our target P/E to 35x (from 30x), which is at the upper end of its historical trading band of 25-35x, to reflect its improving growth visibility, and roll forward to June -27F. Its valuation at ~33x FY28F EPS looks attractive to us given the strong 26% EPS CAGR over FY26-28F.

Fig. 22: Sansera – valuation

INR	
Conso EPS (FY28F)	86.5
Target PE	35
Value roll forward to Jun-27F	3,114

Source: Nomura estimates

Fig. 23: Sansera – P/E band



Source: Bloomberg Finance L.P., Nomura research

Fig. 24: Peer valuation comparison

		Mkt Cap	Rating	CMP	FY26-28F CAGR			EPS		P/E		EV-EBITDA		ROE		FCF Yield	
Company	Ticker	(\$mn)		INR	Revenue	EBITDA	EPS	FY27F	FY28F	FY27F	FY28F	FY27F	FY28F	FY27F	FY28F	FY27F	FY28F
Balkrishna	BIL IN	4,423	Neutral	2,205	19%	20%	28%	82.0	103.0	26.9	21.4	17.5	15.2	13.7	15.4	0.0%	1.9%
Uno Minda	UNOMINDA IN	6,465	Buy	1,079	22%	21%	24%	25.1	32.4	43.0	33.3	24.0	19.9	19.8	22.3	0.4%	1.0%
Exide*	EXID IN	3,006	Buy	341	10%	15%	17%	15.4	17.8	22.1	19.1	9.1	7.7	8.2	8.8	4.4%	5.2%
Samvardhana Motherson	MOTHERSO IN	15,002	Buy	137	16%	19%	37%	5.8	7.3	23.6	18.6	8.2	7.1	15.4	17.1	3.0%	5.6%
Motherson Sumi Wiring	MSUMI IN	2,746	Buy	40	15%	23%	27%	1.5	1.8	26.4	22.3	21.9	16.8	45.7	45.1	3.3%	3.9%
Apollo Tyres	APTY IN	2,451	Neutral	372	8%	12%	17%	34.3	38.8	10.8	9.6	7.1	6.3	13.3	13.6	2.0%	4.3%
Bharat Forge	BHFC IN	9,420	Neutral	1,899	17%	28%	50%	40.2	57.9	47.2	32.8	23.5	18.7	18.7	22.1	1.0%	1.5%
Amara Raja	ARENM IN	1,560	Neutral	821	10%	16%	21%	50.9	60.5	16.1	13.6	9.3	7.9	11.2	12.1	6.7%	8.1%
CEAT Tyres	CEAT IN	1,335	Buy	3,180	19%	14%	13%	154.7	243.1	20.6	13.1	7.2	7.7	11.8	16.5	-1.8%	1.8%
Sona BLW Precision Forgings	SONACOMS IN	3,770	Buy	584	21%	21%	19%	12.3	14.8	48.5	37.6	30.9	27.4	12.4	14.3	1.5%	1.5%
Sansera	SANSERA IN	1,846	Buy	2,855	11%	26%	26%	67.1	86.5	42.5	33.0	22.0	17.8	12.8	14.5	0.0%	0.9%

Note: Share prices as of 21 May 2026.

Source: Bloomberg Finance L.P., Nomura estimates

Key downside risks

Any accelerated shift in new industry trends and technologies: Sansera's current revenue exposure to the ICE (internal combustion engine) segment is high; failure to successfully adapt to new technologies in a cost-effective and timely manner could affect the company's growth prospects.

Weak demand from key customers/segments: Sansera derived ~45% of FY26 revenue from its top-5 customers and ~35% from the 2W ICE industry. However, if demand remains weak for these clients/industry, revenue growth could come under pressure.

Appendix A-1

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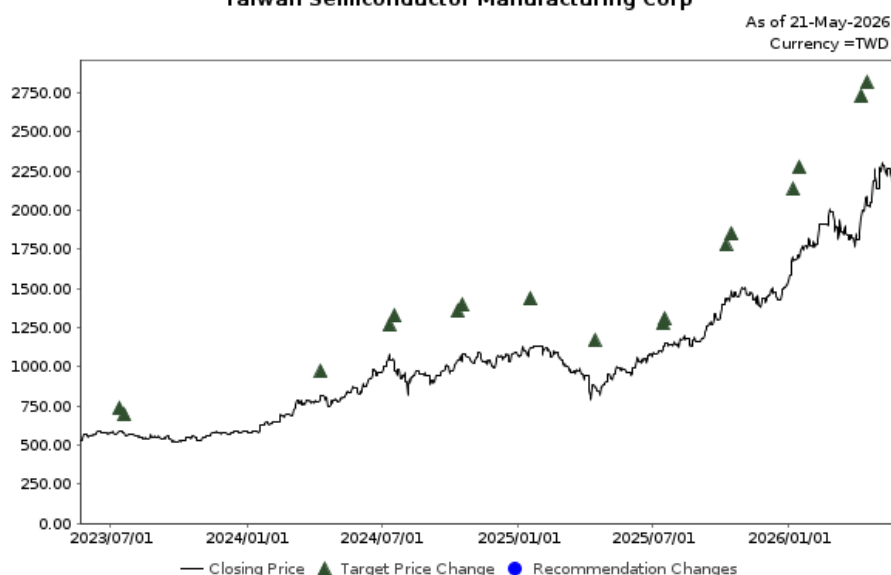
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Taiwan Semiconductor Manufacturing Corp	2330 TT	TWD 2,230.00	21-May-2026	Buy	N/A	
Sansera Engineering	SANSERA IN	INR 2,855	21-May-2026	Buy	N/A	

Taiwan Semiconductor Manufacturing Corp (2330 TT)

TWD 2,230.00 (21-May-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Taiwan Semiconductor Manufacturing Corp



Date	Rating	Target price	Closing price
16-Apr-26		2,820.00	2,085.00
09-Apr-26		2,735.00	1,955.00
15-Jan-26		2,280.00	1,690.00
07-Jan-26		2,135.00	1,675.00
16-Oct-25		1,855.00	1,485.00
08-Oct-25		1,780.00	1,415.00
17-Jul-25		1,310.00	1,130.00
15-Jul-25		1,280.00	1,110.00
14-Apr-25		1,170.00	865.00
17-Jan-25		1,440.00	1,120.00
17-Oct-24		1,400.00	1,035.00
11-Oct-24		1,355.00	1,045.00
18-Jul-24		1,330.00	1,005.00
11-Jul-24		1,270.00	1,080.00
10-Apr-24		975.00	815.00
20-Jul-23		700.00	579.00
13-Jul-23		740.00	585.00

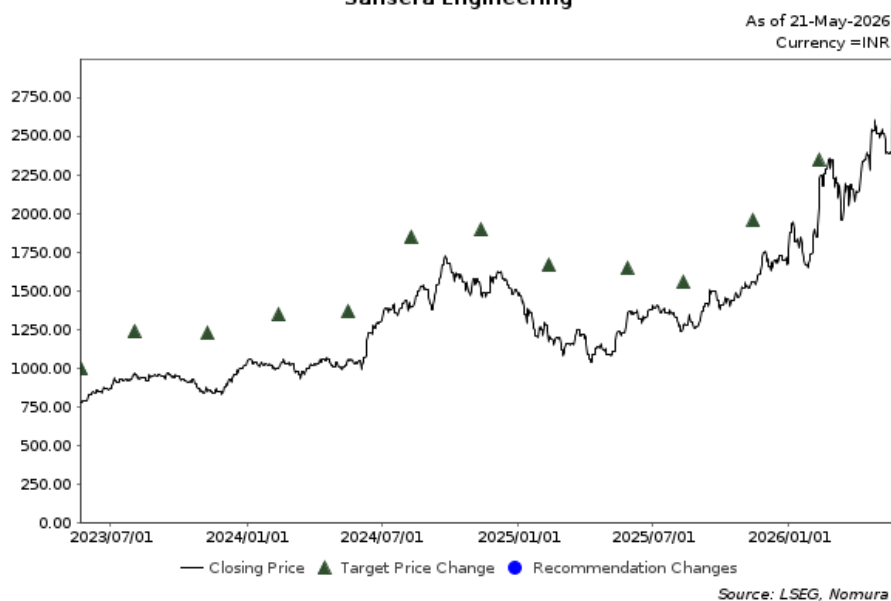
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of TWD2,820 is based on 25x 2026-27F average EPS. Our target P/E is at the higher end of historical range. The benchmark index for the stock is Taiwan TAIEX and SOX.

Risks that may impede the achievement of the target price Major downside risks are: 1) top-down macro issues because of US-China trade tensions; 2) weaker-than-expected sell-through compared with strong demand in the supply chain; 3) slower-than-expected technology migration; and 4) stronger-than-expected competition in advanced 5/3nm nodes.

Sansera Engineering (SANSERA IN)**INR 2,855 (21-May-2026) Buy** (Sector rating: N/A)

Rating and target price chart (three year history)

Sansera Engineering

Date	Rating	Target price	Closing price
10-Feb-26		2,342.00	2,035.00
14-Nov-25		1,954.00	1,556.00
12-Aug-25		1,554.00	1,275.00
28-May-25		1,643.00	1,344.00
11-Feb-25		1,669.00	1,166.00
12-Nov-24		1,892.00	1,479.00
09-Aug-24		1,848.00	1,394.00
17-May-24		1,368.00	1,042.00
13-Feb-24		1,342.00	993.00
09-Nov-23		1,224.00	842.00
02-Aug-23		1,237.00	968.00
23-May-23		995.00	778.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of INR3,114 is based on 35x FY28F consol EPS (roll forwarded to Jun-27F). Our target multiple is backed by DCF. The benchmark index for the stock is Nifty 50

Risks that may impede the achievement of the target price Key downside risks: 1) Any accelerated shift in new industry trends and technologies; and 2) slower demand from its Top 5 clients (~45% of FY26 revenues).

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As at 31 March 2026.

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